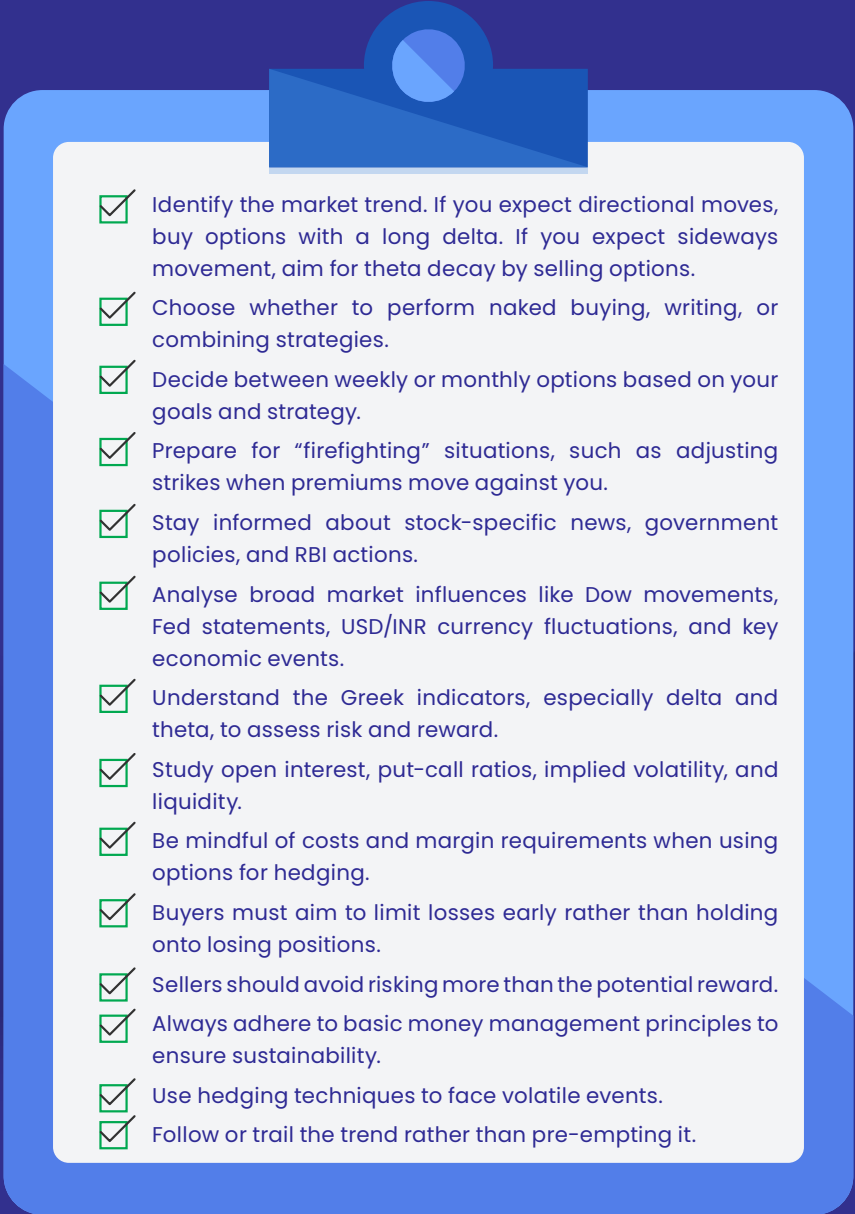


7.3 Pre-Trade Checklist

Below are some pointers to consider before you execute a trading strategy:

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- ✓ Identify the market trend. If you expect directional moves, buy options with a long delta. If you expect sideways movement, aim for theta decay by selling options.
 - ✓ Choose whether to perform naked buying, writing, or combining strategies.
 - ✓ Decide between weekly or monthly options based on your goals and strategy.
 - ✓ Prepare for “firefighting” situations, such as adjusting strikes when premiums move against you.
 - ✓ Stay informed about stock-specific news, government policies, and RBI actions.
 - ✓ Analyse broad market influences like Dow movements, Fed statements, USD/INR currency fluctuations, and key economic events.
 - ✓ Understand the Greek indicators, especially delta and theta, to assess risk and reward.
 - ✓ Study open interest, put-call ratios, implied volatility, and liquidity.
 - ✓ Be mindful of costs and margin requirements when using options for hedging.
 - ✓ Buyers must aim to limit losses early rather than holding onto losing positions.
 - ✓ Sellers should avoid risking more than the potential reward.
 - ✓ Always adhere to basic money management principles to ensure sustainability.
 - ✓ Use hedging techniques to face volatile events.
 - ✓ Follow or trail the trend rather than pre-empting it.